

Vanilla Option Model Validation Report

Baseline Validation — Date: 2024-09-01

1. Executive Summary

This validation provides an overview of the model performance and governance.

2. Model Purpose and Use

The model is designed to price vanilla and exotic options.

3. Model Overview

This section provides an overview of the model's pricing mechanisms.

4. Key Limitations/Weaknesses and Associated Model Risks

Key limitations include volatility assumptions and model calibration.

5. Validation Scope and Approach

The validation scope includes conceptual soundness, model performance, and ongoing monitoring.

6. Data Quality

The data quality was assessed based on completeness, accuracy, and reliability.

7. Conceptual Soundness

The model is conceptually sound with a well-structured pricing mechanism.

8. Model Performance

8.2 Sensitivity Analysis

Sensitivity analysis was conducted on target variable with respect to changes in the input variable.

No plot available.

MRM Assessment: No assessment available.

8.3 Scenario Analysis

Scenario analysis was conducted with stress on spot price, volatility, and interest rates.

No scenario results available.

MRM Assessment: No assessment available.

8.4 Convergence Analysis

No plot available.

No convergence results available.

MRM Assessment: No assessment available.

9. Benchmarking

Benchmarking analysis compares the model outputs with standard benchmarks.

10. Risk P&L; (RPBL) Analysis

Risk P&L; analysis compares realized profit and loss against theoretical risk-based estimates.

11. Model Governance

Governance details for the model.

12. Appendix

Appendix content.